



ZIMBABWE SCHOOL EXAMINATIONS COUNCIL
General Certificate of Education Advanced Level

ACCOUNTING
PAPER 1 Multiple Choice

6001/1
1 hour 20 minutes

SPECIMEN PAPER

Additional materials:
Multiple Choice answer sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)
Calculator

INSTRUCTIONS TO CANDIDATES

Write your name, centre number and candidate number in the spaces on the answer sheet provided.

Read very carefully the instructions on the answer sheet.

Answer **all** questions. For each question there are **four** possible answers, **A, B, C** and **D**. Choose the correct answer. Record your choice in **soft pencil** on the separate answer sheet provided.

INFORMATION FOR CANDIDATES

There are **forty** questions in this paper. Any rough working should be done in this question paper.

The businesses in this question paper are intended to be fictitious.

This specimen paper consists of 11 printed pages.

Copyright: Zimbabwe School Examinations Council, Specimen Paper.

- 1 Which of the following best describes the money measurement concept?
- A A company records the value of skills of its employees.
 - B A company does not record the value of skills of its employees.
 - C A company records the value of the level of satisfaction of its employees.
 - D A company records the value of the level of competency of its management.
- 2 Which of the following errors does **not** affect the trial balance agreement?
- A A purchase of \$495 entered in the books as \$594.
 - B Cash received \$400 from a debtor entered in the cash book only.
 - C Repairs undercast by \$220.
 - D Sales overcast by \$310.
- 3 The following information is available at 30 April 2024.
- | | |
|---|--------|
| | \$ |
| Balance as per bank statement | 20 240 |
| Bank interest credited on the bank statement only | 2 000 |
| Unpresented cheques | 3 000 |
- What was the balance as per cashbook?
- A \$15 240
 - B \$19 240
 - C \$20 240
 - D \$25 240
- 4 Which of the following is a benefit of control accounts?
- A Guarantee accuracy of individual ledger accounts.
 - B Enable identification of errors made in individual ledgers.
 - C May not detect errors in subsidiary books
 - D Prevent fraud and window dressing.
- 5 Which International Accounting Standard deals with valuation of inventory?
- A IAS 1
 - B IAS 2
 - C IAS 10
 - D IAS 16

- 6 The following information is available for a business:

	\$
Sales	200 000
Opening inventory	15 000
Closing inventory	20 000
Margin 20%	

What is the cost of sales?

- A \$40 000
 B \$50 000
 C \$150 000
 D \$160 000
- 7 A company paid \$1 500 000 to acquire the business of a sole trader.
 The sole trader's assets and liabilities were valued as follows:

	\$
Non-current assets	700 000
Current assets	300 000
Current liabilities	50 000
Non-current liabilities	100 000

How much was paid for goodwill?

- A \$450 000
 B \$500 000
 C \$550 000
 D \$650 000
- 8 A trader pays rent quarterly in advance.
 During the year ended 31 December 2024 the trader made the following payments:

	\$
January 1	2 200
March 31	2 800
June 30	2 800
September 30	3 000
December 31	3 000

Which amount for rent should be shown in the Income Statement for year ended 31 December 2024?

- A \$7 800
 B \$10 800
 C \$11 600
 D \$13 800
- 9 Which of the following will be included in a statement of changes in equity?
- A Depreciation
 B Goodwill
 C Loan notes
 D Share premium

- 10** The following are reasons for redeeming shares by a company **except** that it may want to
- A** buy out a dissenting shareholder.
 - B** raise capital.
 - C** reduce gearing.
 - D** use its surplus cash.

- 11** The total of the purchases journal for one month is \$7 160.
It has been entered in the purchases account as \$7 610.

Which journal entries are required to correct the error?

	Debit	Credit
	\$	\$
A	Purchases account 450	
	Suspense account	450
B	Purchases account 450	
	Trade payables	450
C	Suspense account 450	
	Purchases account	450
D	Trade payables 450	
	Purchases account	450

- 12** A company purchased a business with assets shown below.

Non- current assets	\$
Goodwill	50 000
Machinery	200 000
Net current assets	100 000

The purchase price was settled by issuing 300 000 ordinary shares of \$1 each at \$1,50 per share.

How much did the company pay for goodwill?

- A** \$50 000
 - B** \$100 000
 - C** \$150 000
 - D** \$300 000
- 13** A vehicle with a cost of \$500 000 was disposed for \$10 000 and the profit on disposal was \$2 000.

What was the accumulated provision for depreciation?

- A** \$38 000
- B** \$40 000
- C** \$42 000
- D** \$48 000

14 Which of the following items will be included in the manufacturing accounts?

- A carriage inwards
- B carriage outwards
- C sales returns
- D selling expenses

15 Oneday Pvt Ltd's statement of financial position on 31 December 2025 is summarized as follows:

	\$
Net assets	<u>1 600 000</u>
<u>Equity</u>	
Ordinary shares of \$1 each	1000 000
Share premium	<u>600 000</u>
Total equity	<u>1 600 000</u>

On 1 January 2026, the directors made a rights issue of 100 000, \$1 ordinary shares at \$1.50 each.

Which of the following shows the balances after the above transactions ?

	Net assets	Ordinary shares	Share premium
	\$	\$	\$
A	1 600 000	1 100 000	650 000
B	1 600 000	1 150 000	450 000
C	1 750 000	1 100 000	650 000
D	1 750 000	1 150 000	600 000

16 Charles, David and Joseph were partners sharing profits and losses equally. Charles retired while David and Joseph continued as equal partners. Goodwill \$90 000, is not to be shown in the books.

Which entries will record the adjustments for goodwill in the capital accounts for Charles, David and Joseph?

	Charles	David	Joseph
	\$	\$	\$
A	30 000 credit	15 000 credit	15 000 credit
B	30 000 credit	15 000 debit	15 000 debit
C	30 000 debit	15 000 credit	15 000 credit
D	30 000 debit	45 000 credit	45 000 credit

17 Which basis should be used to apportion the cost of insuring plant and machinery between departments?

- A Floor area
- B Machine hours
- C Maintenance hours
- D Replacement cost

- 18 The following information relates to a football club for a year.

	\$
Annual subscription per member	20
Subscriptions owing at beginning of year	1000
Subscriptions owing at end of year	600
Number of members	100

How much was received from subscriptions during the year?

- A \$1 600
 B \$2 000
 C \$2 400
 D \$2 600
- 19 The following information is available for the business of Grey, a sole trader.

	1 January 2024	31 December 2024
	\$	\$
Capital	392 400	360 000
Drawings	-	343 000

A private car valued at \$91 000 was brought into the business during the year.

What is Grey's profit for the year ended 31 December 2024?

- A \$219 600
 B \$375 400
 C \$612 000
 D \$703 000
- 20 According to IAS2 Inventory valuation, the cost of work- in- progress and finished goods consists of all of the following **except**
- A direct expenses.
 B indirect expenses.
 C selling costs.
 D storage costs.

- 21** The purchases and sales of inventory for a business were as follows:

Date 2025	Purchases	Sales
4 January	3 units at \$800 each	-
13 January	-	2 units at \$900 each
16 January	5 units at \$850 each	-
26 January	3 units at \$1000 each	-
28 January	-	4 units at \$1 200 each

What is the value of closing inventory using FIFO?

- A** \$4 100
B \$4 700
C \$5 000
D \$6 000

- 22** Taona Manufacturing Pvt Ltd has the following information at 31 December 2024.

	\$
Inventory of raw materials: 1 January 2024	31 000
31 December 2024	15 000
Production overheads	19 000
Supervisor's salary	2 000
Production wages	221 000
Purchases of raw materials	240 000

What is the prime cost?

- A** \$477 000
B \$ 489 000
C \$492 000
D \$496 0000
- 23** The quick ratio of a business has decreased.

What is the reason for the decrease?

- A** a decrease in inventory
B a decrease in trade payables
C an increase in cash
D an increase in trade payables

- 24 A business had the following information on 31 December 2024.

	\$
Opening inventory	2 250
Closing inventory	3 375
Cost of sales for the year	13 500
revenue for the year	22 660

What is the rate of inventory turnover?

- A 4 times
 B 4,8 times
 C 6 times
 D 8,1 times
- 25 Which of the following is an investment ratio?

- A Capital employed turnover
 B Current ratio
 C Earnings per share
 D Return on capital employed

- 26 General donations in club accounts are

- A additions to accumulated funds.
 B deferred income.
 C income for the year in which they are received.
 D loans to the club.

- 27 The information below relates to business partners Peter and James.

	Peter	James
	\$	\$
Capital	10 000	8 000
Loan to the firm	3 000	
Interest on capital	10%	
Interest on loan	10%	

Peter and James share profit and losses in the ratio 2:1 respectively.
 The partnership has made a net profit for the year of \$39 000.

How much is Peter's total share of net profit?

- A \$24 800
 B \$25 600
 C \$25 800
 D \$27 000
- 28 Which item should be treated as capital expenditure?
- A carriage on machinery
 B carriage on purchases
 C depreciation of machinery
 D repairs to machinery

- 29** A business has three departments X; Y and Z. Fixed administration expenses amounting to \$90 000 are apportioned in the ratio 3:2:1 respectively.

It has been decided to close department Z.

How will the administration expenses be apportioned to the departments X and Y after the department Z has been closed?

	Department X \$	Department Y \$
A	36 000	54 000
B	45 000	30 000
C	45 000	45 000
D	54 000	36 000

- 30** A sales ledger control account had a debit balance of \$20 000. The following errors were discovered:

	\$
Sales journal overstated	1 500
Discount allowed not recorded in control account	670
Bad debts not recorded in control account	340
Increase in provision for bad debts	500

The corrected sales ledger control account balance is

- A** \$16 990.
B \$17 490.
C \$17 830.
D \$18 160.
- 31** Which one is a characteristic of Batch costing?
- A** each unit is separately identifiable
B production involves repetitive operations
C production is based on specific customer orders
D production is usually of short duration
- 32** A company's policy is to close any branch that does not benefit the company financially. When should a branch be closed?
- A** when both its sales and its net profits are declining
B when its gross profit is declining each year
C when its fixed costs are greater than its net profit
D when its variable costs are greater than its sales revenue

- 33 A company provides the following information:

Budgeted labour hours	9 000
Actual labour hours	8 000
Budgeted overheads	\$150 000
Actual overheads	\$140 000

What is the overheads absorption rate based on direct labour hours?

- A \$15,56
- B \$16,67
- C \$17,50
- D \$18.75

- 34 Charuma Ltd provides the following information:

	Budgeted	Actual
Sales in units	8700	8 200
Selling price per unit	\$26	\$31

What is the sales price variance?

- A \$41 000 Adverse
- B \$41 000 Favourable
- C \$43 500 Adverse
- D \$43 500 Favourable

- 35 A manufacturing business uses absorption costing.

Which cost is used to value finished goods?

- A Full cost
- B Prime cost
- C Variable cost of production
- D Variable cost of sales

- 36 A company has prepared a production budget for two levels of activity as shown below.

	5 000 units	6 000 units
	\$	\$
Direct materials	10 000	12 000
Direct labour	15 000	18 000
Production overheads	<u>16 000</u>	<u>18 000</u>
	<u>41 000</u>	<u>48 000</u>

8 000 units were produced.

What is the cost of producing the 8 000 units?

- A \$56 000
- B \$62 000
- C \$64 000
- D \$65 600

- 37 A company has provided the following information:

	Budgeted	Actual
Units	200	300
	\$	\$
Direct material	6 000	9 000
Labour	7 000	10 000
Overheads	5 000	5 000

What is the total fixed costs for the production of 300 units?

- A \$1 000
- B \$3 000
- C \$5 000
- D \$6 000

- 38 Zee Ltd provides the following information for product P.

	\$
Sales revenue at break- even point	78 000
Unit selling price	20
Fixed costs	23 400

What is the contribution of each unit of product P?

- A \$6
- B \$14
- C \$20
- D \$26

- 39 Which investment appraisal technique is based on accounting profits?

- A Accounting rate of return
- B Internal rate of return
- C Net present value
- D Payback period

- 40 A business plans to improve its computer system which was bought five years ago.

What type of cost is the existing computer system?

- A Fixed
- B Stepped
- C Sunk
- D Variable